

Circular C-02 — Conduct Risk Framework — Mandatory Board Oversight Requirements

Reference:	FRA/C/2025/002	Issue Date:	20 Jan 2025
Effective Date:	01 Apr 2025	Response Deadline:	28 Feb 2025
Issuing Authority:	Financial Regulatory Authority	Classification:	MANDATORY

1. Overview

Firms must embed a Conduct Risk Framework (CRF) approved by the Board of Directors. The CRF must define conduct risk appetite, key risk indicators and escalation triggers. All client-facing business lines must be covered.

2. Board Obligations

The Board must receive quarterly conduct risk MI packs including complaints data, product suitability metrics and staff conduct breaches. A dedicated Board Conduct Committee or expanded mandate for the Risk Committee is required.

3. Remuneration Alignment

Variable remuneration for senior management and sales staff must include a conduct risk modifier capable of reducing or eliminating bonuses for conduct failures. Malus and clawback provisions must extend to 7 years post-award.

4. Deadline

Submit Board-approved CRF to the Authority by 28 Feb 2025. Firms without a compliant CRF after this date will be placed on enhanced supervision.